

HOUSE No. 5350

The Commonwealth of Massachusetts

The committee of conference on the disagreeing votes of the two branches with reference to the Senate amendment (striking out all after the enacting clause and inserting in place thereof the text contained in Senate document numbered 2749) of the House Bill modernizing the commonwealth’s cannabis laws (House, No. 4206), reports recommending passage of the accompanying bill (House, No. 5350). April 6, 2026.

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HOUSE No. 5350

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act modernizing the commonwealth's cannabis laws.

Whereas, The deferred operation of this act would tend to defeat its purpose, which is to modernize the commonwealth's cannabis laws, therefore it is hereby declared to be an emergency law, necessary for the immediate preservation of the public convenience.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. Chapter 6 of the General Laws is hereby amended by adding the following
2 section:-

3 Section 223. (a) There shall be a Massachusetts cannabis control commission, which shall
4 consist of 3 commissioners, appointed by the governor. The governor shall designate 1
5 commissioner as chair. The commissioners shall devote their full time and attention to the duties
6 of their office. The governor shall appoint commissioners with experience or expertise in any of
7 the following areas: public health, public safety, social justice, the regulation and business of
8 consumer commodities or the production and distribution of marijuana and marijuana products;
9 provided, however, that at least 1 commissioner shall have a background in social justice. Prior
10 to appointment to the commission, a background investigation shall be conducted into the
11 financial stability, integrity and responsibility of a candidate, including the candidate's reputation

for good character and honesty. No person convicted of a felony shall be eligible to serve on the commission.

(b) Each commissioner shall be a resident of the commonwealth within 90 days of appointment and, while serving on the commission, shall not: (i) hold, or be a candidate for, federal, state or local elected office; (ii) hold an appointed office in a federal, state or local government; or (iii) serve as an official in a political party. Not more than 2 commissioners shall be from the same political party.

(c) The chair shall serve a term co-terminus with the governor. The 2 remaining commissioners shall each serve for a term of 4 years or until a successor is appointed. Each commissioner shall be eligible for reappointment. A person appointed to fill a vacancy in the office of a commissioner shall be appointed in a like manner and shall serve for only the unexpired term of that commissioner.

(d) The governor may remove a commissioner for inefficiency, neglect of duty, misconduct, malfeasance, inability to discharge the duties of a commissioner or conviction of a felony in office. Before removal, the commissioner shall be provided with a written statement of the reason for removal and an opportunity to be heard.

(e) Two commissioners shall constitute a quorum and the affirmative vote of 2 commissioners shall be required for an action of the commission. The chair or 2 commissioners may call a meeting; provided, however, that notice of all meetings shall be given to each commissioner and to other persons who request such notice. The commission shall adopt regulations establishing procedures, which may include electronic communications, by which a request to receive notice shall be made and the method by which timely notice may be given.

(f) The chair shall receive a salary equal to the salary of the secretary of administration and finance under section 4 of chapter 7. The 2 remaining commissioners shall receive a salary equal to 75 per cent of the salary of the secretary of administration and finance under said section 4 of said chapter 7.

(g) The chair shall have and exercise supervision and control over all of the affairs of the commission, including the coordination and administration of its operations, programs and personnel; provided, however, that the chair may delegate any of these responsibilities to the executive director. The chair shall preside at all hearings at which the chair is present and shall designate a commissioner to act as chair to preside in the chair's absence. The chair shall direct the implementation of the commission's policies and shall have final authority, subject to applicable law and regulations, over personnel management and internal administrative matters. The chair may, as necessary, assign or reassign responsibilities among the commissioners, officers, employees and agents of the commission to ensure the efficient administration of the commission.

(h)(1) The commissioners shall, if so directed by the chair, participate in the hearing and decision of any matter before the commission; provided, however, that any matter may be heard, examined and investigated by an employee of the commission designated and assigned by the chair, with the concurrence of 1 other commissioner. Such employee shall make a report in writing relative to the hearing, examination and investigation of every such matter to the commission for its decision. For the purposes of hearing, examining and investigating any such matter, such employee shall have all of the powers conferred upon a commissioner by this section. For each hearing, the concurrence of a majority of the commissioners participating in the decision shall be necessary.

(2) When presiding over or participating in an adjudicatory proceeding, the commissioners shall be subject to all duties, standards and prohibitions applicable to presiding officers pursuant to chapter 30A.

(i)(1) The chair shall, in consultation with the other commissioners, appoint an executive director who shall devote their full-time duties to their office. The executive director shall serve at the pleasure of the chair and under the supervision and direction of the chair. The salary of the executive director shall be determined by the chair after consultation with the commission.

(2) The executive director shall, consistent with the personnel and budget policies adopted by the chair, appoint and employ a chief financial and accounting officer and may appoint other officers, employees, consultants, agents and legal counsel as may be necessary to carry out the duties of the commission. No funds shall be transferred or expended by the commission without the approval of the chair and the authorization of the chief financial and accounting officer consistent with financial control policies.

(3) In the event of an absence or vacancy in the office of the executive director or in the case of disability, as determined by the chair, the chair shall designate an acting executive director who shall perform the duties of the office until such vacancy, absence or disability ceases.

(j) Chapters 268A and 268B shall apply to the commissioners and to employees of the commission; provided, however, that the commission shall establish a code of ethics for all commissioners and employees that shall be more restrictive than said chapters 268A and 268B. A copy of the code shall be filed with the state ethics commission. The code shall include provisions reasonably necessary to carry out the purposes of this section and any other laws

subject to the jurisdiction of the commission, including, but not limited to: (i) prohibiting the receipt of gifts by commissioners and employees from any marijuana licensee, applicant, close associate, affiliate or other person or entity subject to the jurisdiction of the commission; (ii) prohibiting the participation by commissioners and employees in a particular matter as defined in section 1 of said chapter 268A that affects the financial interest of a relative within the third degree of consanguinity or a person with whom such commissioner or employee has a significant relationship, as defined in the code; and (iii) providing for recusal of a commissioner in a licensing decision due to a potential conflict of interest.

(k) The commission shall be a commission for the purposes of section 3 of chapter 12.

(l) The commission shall, for the purposes of compliance with state finance law, operate as a state agency as defined in section 1 of chapter 29 and shall be subject to the laws applicable to agencies under the control of the governor; provided, however, that the comptroller may identify any additional instructions or actions necessary for the commission to manage fiscal operations in the state accounting system and meet statewide and other governmental accounting and audit standards. The commission shall properly classify the commission's operating and capital expenditures and shall not include any salaries of employees in the commission's capital expenditures. Unless otherwise exempted by law or the applicable central service agency, the commission shall participate in any other available commonwealth central services, including, but not limited to, the state payroll system pursuant to section 31 of said chapter 29, and may purchase other goods and services provided by state agencies in accordance with comptroller provisions. The comptroller may chargeback the commission for the transition and ongoing costs for participation in the state accounting and payroll systems and may retain and expend such

costs without further appropriation for the purposes of this section. The commission shall be subject to section 5D and subsection (f) of section 6B of said chapter 29.

SECTION 2. Sections 76 and 77 of chapter 10 of the General Laws are hereby repealed.

SECTION 3. Section 2 of chapter 62 of the General Laws, as appearing in the 2024 Official Edition, is hereby amended by striking out, in lines 412 and 413, the words “medical marijuana treatment center” and inserting in place thereof the following words:- medical marijuana establishment.

SECTION 4. Section 30 of chapter 63 of the General Laws, as so appearing, is hereby amended by striking out, in line 61, the words “medical marijuana treatment center” and inserting in place thereof the following words:- medical marijuana establishment.

SECTION 5. Section 4 of chapter 64N of the General Laws, as so appearing, is hereby amended by striking out, in lines 2 and 3, the words “medical marijuana treatment center” and inserting in place thereof the following words:- medical marijuana establishment as defined in section 1 of chapter 94I.

SECTION 6. Section 1 of chapter 94C of the General Laws, as so appearing, is hereby amended by striking out the definition of “Marihuana” and inserting in its place the following definition:-

“Marijuana” or “Marihuana”, all parts of any plant of the genus Cannabis, not excepted below and whether growing or not; and resin extracted from any part of the plant; and every compound, manufacture, salt, derivative, mixture or preparation of the plant or its resin including tetrahydrocannabinol; provided, however, that marijuana shall not include: (i) the mature stalks

122 of the plant, fiber produced from the stalks, oil or cake made from the seeds of the plant, any
123 other compound, manufacture, salt, derivative, mixture or preparation of the mature stalks, fiber,
124 oil or cake made from the seeds of the plant; (ii) the seeds of the plant; (iii) hemp; or (iv) the
125 weight of any other ingredient combined with marijuana to prepare topical or oral
126 administrations, food, drink or other products.

127 SECTION 7. Section 32L of said chapter 94C, as so appearing, is hereby amended by
128 striking out, in lines 2, 23, 25, 30, 35, 36 and 45, each time it appears, the figure “2” and
129 inserting in place thereof, in each instance, the following figure:- 3.

130 SECTION 8. Section 32M of said chapter 94C, as so appearing, is hereby amended by
131 striking out, in line 3, the figure “2” and inserting in place thereof the following figure:- 3.

132 SECTION 9. Section 34 of said chapter 94C, as so appearing, is hereby amended by
133 striking out, in line 18, the words “one ounce of marihuana” and inserting in place thereof the
134 following words:- 2 ounces of marihuana.

135 SECTION 10. Section 1 of chapter 94G of the General Laws, as so appearing, is hereby
136 amended by striking out the definition of “Commission” and inserting in place there of the
137 following definition:-

138 “Commission”, the Massachusetts cannabis control commission established in section
139 223 of chapter 6.

140 SECTION 11. Said section 1 of said chapter 94G, as so appearing, is hereby further
141 amended by striking out the definitions of “Host community”, “Host community agreement” and
142 “Independent testing laboratory” and inserting in place thereof the following 3 definitions:-

“Host community”, a municipality in which a marijuana establishment or a medical marijuana establishment is located or in which an applicant has proposed locating a marijuana establishment or a medical marijuana establishment.

“Host community agreement”, an agreement between a marijuana establishment or a medical marijuana establishment and a municipality pursuant to subsection (d) of section 3.

“Independent testing laboratory”, a laboratory that is licensed by the commission and is:

- (i) accredited to the most current International Organization for Standardization 17025 by a third-party accrediting body that is a signatory to the International Laboratory Accreditation Cooperation mutual recognition arrangement or that is otherwise approved by the commission;
- (ii) independent financially from any medical marijuana establishment or any licensee or marijuana establishment for which it conducts a test; and (iii) qualified to test marijuana in compliance with regulations promulgated by the commission pursuant to this chapter.

SECTION 12. Said section 1 of said chapter 94G, as so appearing, is hereby further amended by striking out the definition of “Marijuana” and inserting in place thereof the following definition:-

“Marijuana” or “Marihuana”, all parts of any plant of the genus Cannabis, not excepted below and whether growing or not; and resin extracted from any part of the plant; and every compound, manufacture, salt, derivative, mixture or preparation of the plant or its resin including tetrahydrocannabinol as defined in section 1 of chapter 94C; provided, however, that marijuana shall not include: (i) the mature stalks of the plant, fiber produced from the stalks, oil or cake made from the seeds of the plant, any other compound, manufacture, salt, derivative, mixture or preparation of the mature stalks, fiber, oil or cake made from the seeds of the plant; (ii) the seeds

of the plant; (iii) hemp; or (iv) the weight of any other ingredient combined with marijuana to prepare topical or oral administrations, food, drink or other products.

SECTION 13. Said section 1 of said chapter 94G, as so appearing, is hereby further amended by striking out the definition of “Medical marijuana treatment center” and inserting in place thereof the following definition:-

“Medical marijuana establishment”, as defined in section 1 of chapter 94I.

SECTION 14. Said section 1 of said chapter 94G, as so appearing, is hereby further amended by striking out the definition of “Social equity business” and inserting in place thereof the following definition:-

“Social equity business”, a marijuana establishment or medical marijuana establishment with not less than 51 per cent majority ownership of individuals who are eligible for the social equity program under section 22 or whose ownership qualifies it as an economic empowerment priority applicant as defined by the commission’s regulations promulgated pursuant to section 4.

SECTION 15. Section 3 of said chapter 94G, as so appearing, is hereby amended by striking out, in lines 10, 98 and 99, 103, 106, 111 and 112, 114 and 115, 117, 120 and 121, 127, 130 and 131, 135 and 136, 139 and 140, 147, 150 and 151, 156, 162 and 163, 177 and 178 and 190, each time they appear, the words “medical marijuana treatment center” and inserting in place thereof, in each instance, the following words:- medical marijuana establishment.

SECTION 16. Said section 3 of said chapter 94G, as so appearing, is hereby further amended by striking out, in lines 31 and 223, each time they appear, the words “medical

185 marijuana treatment centers” and inserting in place thereof, in each instance, the following
186 words:- medical marijuana establishments.

187 SECTION 17. Said section 3 of said chapter 94G, as so appearing, is hereby further
188 amended by striking out, in lines 118 and 119, the words “medical marijuana treatment center’s”
189 and inserting in place thereof the following words:- medical marijuana establishment’s.

190 SECTION 18. Subsection (a) of section 4 of said chapter 94G, as so appearing, is hereby
191 amended by striking out, in line 5, the words “appoint officers and”.

192 SECTION 19. Subsection (a) of said section 4 of said chapter 94G, as so appearing, is
193 hereby further amended by striking out clauses (xxxix) and (xxxix) and inserting in place thereof
194 the following 3 clauses:-

195 (xxxix) establish procedures and policies for municipalities to promote and encourage full
196 participation in the regulated marijuana industry during negotiations of host community
197 agreements with social equity program businesses and economic empowerment priority
198 applicants;

199 (xxxix) develop a model host community agreement, minimum acceptable standards and
200 best practices for municipalities and prospective licensees during negotiations of host community
201 agreements with social equity businesses; and

202 (xxxix) limit the total number of licenses available under this chapter and chapter 94I.

203 SECTION 20. Said section 4 of said chapter 94G, as so appearing, is hereby further
204 amended by striking out, in lines 169 and 170, 355 and 356 and 357, each time they appear, the

words “medical marijuana treatment center” and inserting in place thereof, in each instance, the following words:- medical marijuana establishment.

SECTION 21. Said section 4 of said chapter 94G, as so appearing, is hereby further amended by inserting after the word “marijuana”, in line 267, the following words:- ; provided, however, that the commission may permit advertising, marketing and branding of sales, discounts and customer loyalty programs within a marijuana establishment, or through an opt-in email list.

SECTION 22. Said section 4 of said chapter 94G, as so appearing, is hereby further amended by inserting after the word “commission”, in lines 290 and 291, the following words:- , including, but not limited to, procedures and requirements to enable the sale of a marijuana establishment or medical marijuana establishment to a licensee’s employees through an employee stock ownership plan as defined in section 407(D)(6)(A) of the Employee Retirement Income Security Act of 1974, codified at 29 U.S.C. 1107(d)(5).

SECTION 23. Said section 4 of said chapter 94G, as so appearing, is hereby further amended by striking out, in lines 313 and 314 and 361 and 362, each time they appear, the words “medical marijuana treatment centers” and inserting in place thereof, in each instance, the following words:- medical marijuana establishments.

SECTION 24. Subsection (a ½) of said section 4 of said chapter 94G, as so appearing, is hereby amended by striking out clauses (xxxvii) and (xxxviii) and inserting in place thereof the following 4 clauses:-

(xxxvii) procedures and policies for host communities to promote and encourage full participation in the regulated marijuana industry, pursuant to paragraph (5) of subsection (d) of

227 section 3, during negotiations of host community agreements with social equity businesses,
228 including, but not limited to, advisory guidelines, best practices and minimum acceptable policy
229 standards;

230 (xxxviii) procedures and policies for the commission to provide the department of
231 revenue with a list of businesses that qualify as social equity businesses to facilitate the
232 department of revenue's timely certification of the amounts required to be distributed, credited
233 and paid to cities and towns pursuant to section 5 of chapter 64N;

234 (xxxix) equivalency and conversion standards for marijuana products pursuant to
235 subsection (a) of section 7, provided; however, that such standards shall consider potency and
236 form; and

237 (xl) criteria for determining whether a person or entity has direct or indirect control over
238 a license pursuant to subsection (b) of section 16.

239 SECTION 25. Subsection (b) of said section 4 of said chapter 94G, as so appearing, is
240 hereby amended by striking out clause (1) and inserting in place thereof the following two
241 clauses:-

242 (1) establish and provide for issuance of additional types or classes of licenses to operate
243 marijuana-related businesses, including licenses that authorize only limited cultivation,
244 processing, manufacture, possession or storage of marijuana or marijuana products, licenses that
245 authorize the consumption of marijuana or marijuana products on the premises where sold,
246 licenses that authorize the consumption of marijuana at special events in limited areas and for a
247 limited time and licenses intended to facilitate scientific research or education;

(2) establish and provide for issuance of licenses that authorize limited delivery of marijuana or marijuana products to consumers; provided, however that notwithstanding section 3 limited delivery of marijuana or marijuana products to consumers shall be allowed in any municipality in the commonwealth; provided further, that notwithstanding this paragraph, a municipality that does not authorize retail marijuana establishment licenses within its limits may request, and the commission shall grant, a waiver from this requirement and may prohibit delivery of marijuana or marijuana products in said municipality; and provided further, that said waiver shall be valid for not more than 2 years and may be extended in 2-year increments upon request, at the commission's discretion.

SECTION 26. Said section 4 of said chapter 94G, as so appearing, is hereby further amended by inserting after the word "chapter", in line 384, the following words: -, the number of complaints received by type submitted through the portal established in subsection (m).

SECTION 27. Said section 4 of said chapter 94G, as so appearing, is hereby further amended by striking out, in lines 386 and 387, the words " , the attorney general, the treasurer and receiver-general".

SECTION 28. Said section 4 of said chapter 94G, as so appearing, is hereby further amended by adding the following subsection:-

(m) The commission shall establish and maintain an online portal for anonymous submission of complaints concerning suspected violations of this chapter or the commission's regulations, including, but not limited to: (i) improper practices by independent testing laboratories; and (ii) violations of license ownership limitations pursuant to section 16. The commission shall adopt procedures to review, log and assess all complaints in a timely manner.

270 The anonymity of complainants shall not preclude the commission from initiating inquiries or
271 enforcement actions where sufficient information is provided to support further investigation.
272 The commission may, in addition, maintain a phone line or any other line of communication that
273 it considers appropriate for the anonymous submission of complaints. Information contained in
274 complaints shall not be a public record and shall be exempt from the disclosure pursuant to
275 clause twenty-six of section 7 of chapter 4 and section 10 of chapter 66.

276 SECTION 29. Subsection (a) of section 7 of said chapter 94G, as so appearing, is hereby
277 amended by striking out clause (1) and inserting in place thereof the following clause:-

278 (1) possessing, using, purchasing, processing or manufacturing 2 ounces or less of
279 marijuana or the equivalent amount of marijuana products as determined by the commission.

280 SECTION 30. Said subsection (a) of said section 7 of said chapter 94G, as so appearing,
281 is hereby further amended by striking out clause (4) and inserting in place thereof the following
282 clause:-

283 (4) giving away or otherwise transferring without remuneration up to 2 ounces of
284 marijuana or the equivalent amount of marijuana products as determined by the commission to a
285 person 21 years of age or older; provided, however, that such transfer shall not be advertised or
286 otherwise promoted to the public.

287 SECTION 31. Section 13 of said chapter 94G, as so appearing, is hereby amended by
288 striking out, in line 12, the figure “1” and inserting in place thereof the following figure:- 2.

289 SECTION 32. Said section 13 of said chapter 94G, as so appearing, is hereby further
290 amended by striking out, in line 50, the words “1 ounce but not more than 2” and inserting in
291 place thereof the following words:- 2 ounces but not more than 3.

292 SECTION 33. Section 14A of said chapter 94G, as so appearing, is hereby amended by
293 striking out in lines 11 and 12, 45, 73 and 74, each time they appear, the words “executive office
294 of housing and economic development” and inserting in place thereof, in each instance, the
295 following words:- executive office of economic development.

296 SECTION 34. Said section 14A of said chapter 94G, as appearing in the 2024 Official
297 Edition, is hereby further amended by striking out, in lines 50 and 51, the words “medical
298 marijuana treatment centers” and inserting in place thereof the following words:- medical
299 marijuana establishments.

300 SECTION 35. Section 15 of said chapter 94G, as so appearing, is hereby by amended by
301 adding the following subsection:-

302 (d) (1) Regulations and testing protocols promulgated or otherwise established pursuant
303 to this section shall be reviewed by the commission at least once every 2 years after their
304 publication as the final rules or regulations to ensure that such regulations and testing protocols
305 are consistent with the most recently published industry standards and best practices.

306 (2) In reviewing a regulation or testing protocol pursuant to this subsection, the
307 commission shall hold a public hearing.

308 (3) The commission shall report on the results of a review undertaken pursuant to this
309 section, which shall include, but not be limited to: (i) a summary of findings under the review

and (ii) a summary of testimony given at the public hearing required by this subsection. The reports shall be posted online in a machine-readable format.

SECTION 36. Said chapter 94G is hereby further amended by striking out section 16, as so appearing, and inserting in place thereof the following section:-

Section 16. (a) No licensee shall be granted more than 6 marijuana retailer licenses, 3 fully integrated medical marijuana treatment center licenses, 3 marijuana product manufacturer licenses or 3 marijuana cultivator licenses; provided, however, that a licensee may hold 6 marijuana retailer licenses, 3 fully integrated medical marijuana treatment center licenses, 3 marijuana product manufacturer licenses and 3 marijuana cultivator licenses; and provided further, that a licensee that holds 3 fully integrated medical marijuana treatment center licenses shall not hold any additional medical marijuana establishment licenses established by the commission pursuant to section 7 of chapter 94I.

(b) The limitations of subsection (a) shall not apply to: (i) a person functioning solely as a trustee during or after the sale of a marijuana establishment or medical marijuana establishment to a licensee's employees through an employee stock ownership plan as defined in section 407(d)(6) of the Employee Retirement Income Security Act of 1974, 29 U.S.C. 1107(d)(6); or (ii) a person or entity that possesses a financial interest in the form of equity in a license of less than 20 per cent provided, however, that such person or entity does not otherwise have direct or indirect control over the operations of a license.

SECTION 37. Said chapter 94G is hereby further amended by adding the following section:-

Section 23. (a) For the purposes of this section, the word “licensee” shall mean any marijuana establishment licensed pursuant to this chapter, any medical marijuana establishment licensed pursuant to chapter 94I or any other applicable licensee determined by the commission.

(b) It shall be unlawful for any licensee to receive or extend credit, directly or indirectly, for marijuana or marijuana products sold or delivered to any licensee except in the usual course of business and for a period of not more than 60 days. Nothing in this chapter shall require any licensee to extend credit to any other licensee. If any licensee does not discharge in full any such indebtedness within such 60-day period, the indebtedness shall be overdue and such licensee shall be delinquent under this section. Not more than 3 days after a licensee becomes delinquent, the licensee that extended the credit shall notify the commission and the delinquent licensee in a manner to be determined by the commission. The notice shall contain the name of the delinquent licensee, the date of delivery of the marijuana or marijuana products and the amount of the indebtedness remaining undischarged. Not more than 5 days after receipt of such notice, the commission shall review the delinquency report and, upon finding it valid, post the name and address only of the delinquent licensee in a delinquent list containing the names and addresses of all delinquent licensees. Such posting shall constitute notice to all licensees of the delinquency of such licensee.

(c) If a licensee is seriously damaged in its business by riot, insurrection, civil disturbance, fire, explosion or by an act of God, so-called, the licensee may file an application with the commission requesting that the provisions of subsection (b) be suspended as to the licensee for a reasonable period. The commission shall set down the application for hearing within 21 days and shall notify all licensees engaged in selling to the applicant of the hearing and give all interested parties the right to be heard. Pending such hearing, the commission may, after

an investigation and determination that the facts as stated by the licensee in its application would constitute reasonable grounds for relief, order that such licensee shall not be posted as delinquent. If the commission finds it is in the public interest to do so, it may suspend the application of subsection (b) with respect to the applicant for such period as it may consider to be reasonable and in the public interest. Such action shall not deprive creditors of all legal rights available to them for the collection of the indebtedness and shall be contingent on such terms and conditions as the commission shall determine.

(d) No licensee shall sell or deliver, directly or indirectly, marijuana or marijuana products to a licensee whose name is posted on the delinquent list, except upon full payment made on or before delivery by certified funds, electronic funds transfer or other payment method as may be approved by the commission and no licensee that is posted on the delinquent list shall purchase or accept delivery of any marijuana or marijuana product except upon full payment made on or before delivery by certified funds, electronic funds transfer or other payment method as may be approved by the commission.

(e) Upon full discharge of the indebtedness for which a licensee was posted to the delinquent list, the licensee who filed the letter of notice of delinquency shall, within 24 hours thereafter, notify the commission of the discharge of the indebtedness. The commission shall, within 2 business day after the receipt of such notice, strike the name of the delinquent licensee from the list. The commission shall, by regulations, prescribe how licensees, other than the 2 concerned, shall be notified of the filing of the name of a licensee on the delinquency list and the removal of the name of a delinquent from such list.

(f) The commission shall not authorize a change of ownership or control of a licensee on the delinquent list until all delinquencies are satisfied and the commission has removed the licensee from the delinquent list under this section, except for approval of court-appointed receivers or trustees under a voluntary assignment for the benefit of creditors; provided, however, that prior approval of such assignment shall be obtained from the commission after notice to all creditors has been given and reasonable time allowed for objections by all creditors.

(g) Notwithstanding and in lieu of any other penalty in this chapter, any person who violates this section shall be punished by a fine of not more than \$5,000 per violation.

(h) The posting list shall be available for inspection by any licensee or a duly authorized agent only; provided, however, that the commission may allow third party access to the list by its licensing software provider.

SECTION 38. Section 1 of chapter 94I of the General Laws, as appearing in the 2024 Official Edition, is hereby amended by striking out the definition of “Card holder” and inserting in place thereof the following definition:-

“Card holder”, a registered qualifying patient, personal caregiver or agent of a medical marijuana establishment who has been issued and possesses a valid registration card.

SECTION 39. Said section 1 of said chapter 94I, as so appearing, is hereby further amended by striking out, in line 16, the words “section 76 of chapter 10” and inserting in place thereof the following words:- section 223 of chapter 6.

SECTION 40. Said section 1 of said chapter 94I, as so appearing, is hereby further amended by striking out the definition of “Cultivation registration” and inserting in place thereof the following definition:-

“Cultivation registration”, a registration issued to a medical marijuana establishment to grow medical use marijuana under the terms of this chapter, or to a qualified patient or personal caregiver.

SECTION 41. Said section 1 of said chapter 94I, as so appearing, is hereby further amended by inserting after the definition of “Electronic certification” the following definition:-

“Fully integrated medical marijuana treatment center”, an entity licensed by the commission with the ability to cultivate, manufacture, process and sell medical use marijuana to qualifying patients, personal caregivers and medical marijuana establishments.

SECTION 42. Said section 1 of said chapter 94I, as so appearing, is hereby further amended by striking out the definition of “Locked area” and inserting in place thereof the following definition:-

“Locked area”, a closet, room, greenhouse or other indoor or outdoor area equipped with locks or other security devices, accessible only to registered and authorized medical marijuana establishment employees, registered qualifying patients or registered personal caregivers.

SECTION 43. Said section 1 of said chapter 94I, as so appearing, is hereby further amended by striking out the definitions “Marijuana”, “Medical marijuana treatment center”, “Medical use marijuana”, “Medical use marijuana license” and “Medical use marijuana licensee”, and inserting in place thereof the following 3 definitions:-

“Marijuana”, as defined in section 1 of chapter 94G.

“Medical marijuana establishment”, a fully integrated medical marijuana treatment center or any other type of licensed medical use of marijuana-related business.

“Medical use marijuana”, marijuana or marijuana accessories sold by a medical marijuana establishment to a card holder for medical use, or marijuana or marijuana accessories possessed by a qualifying patient under a cultivation registration.

SECTION 44. Said section 1 of said chapter 94I, as so appearing, is hereby further amended by striking out the definition of “Registration card” and inserting in place thereof the following definition:-

“Registration card”, a personal identification card issued by the commission to a registered qualifying patient, personal caregiver, laboratory agent or agent of a medical marijuana establishment. The registration card shall facilitate verification of an individual registrant’s status, including, but not limited to, verification that: (i) a registered healthcare professional has provided a written or electronic certification to the qualifying patient; (ii) the patient has designated the individual as a personal caregiver; (iii) a laboratory agent has been registered with the commission and is authorized to possess and test marijuana; or (iv) an agent has been registered with the commission and is authorized to work at a medical marijuana establishment. A temporary registration issued to a qualifying patient shall be deemed a registration card.

The registration card shall facilitate identification for the commission and law enforcement of those individuals who are exempt from criminal and civil penalties for conduct pursuant to the medical use of marijuana.

SECTION 45. Said section 1 of said chapter 94I, as so appearing, is hereby further amended by striking out the definition of “Temporary Registration” and inserting in place thereof the following definition:-

“Temporary registration”, an interim registration document for patients and their personal caregivers generated automatically upon the commission’s receipt of a healthcare professional’s electronic certification. The temporary registration document shall constitute a registration card for patients and their personal caregivers to access a medical marijuana establishment. Temporary registration shall expire 14 days after the commission issues the registration card.

SECTION 46. Section 2 of said chapter 94I, as so appearing, is hereby amended by striking out subsection (a) and inserting in place thereof the following subsection:-

(a) The commission shall operate a medical use of marijuana program, which shall permit a qualifying patient with a debilitating medical condition to obtain a written or electronic certification from a healthcare professional with whom the patient has a bona fide healthcare professional-patient relationship to purchase medical use marijuana from a medical marijuana establishment. Upon issuance of a written certification from a healthcare professional, the commission shall issue a registration card to the qualifying patient. A medical marijuana establishment licensed and authorized by the commission to deliver, sell or otherwise transfer medical use marijuana to consumers may sell medical use marijuana to a card holder.

SECTION 47. Said section 2 of said chapter 94I, as so appearing, is hereby further amended by striking out, in lines 29, 37 and 39, each time they appear, the words “medical marijuana treatment center” and inserting in place thereof, in each instance, the following words:- medical marijuana establishment.

459 SECTION 48. Section 3 of said chapter 94I, as so appearing, is hereby amended by
460 striking out, in lines 5 and 23 and 24, each time they appear, the words “medical marijuana
461 treatment center” and inserting in place thereof, in each instance, the following words:- medical
462 marijuana establishment.

463 SECTION 49. Said section 3 of said chapter 94I, as so appearing, is hereby further
464 amended by striking out, in lines 10 and 11, the words “medical marijuana treatment centers”
465 and inserting in place thereof the following words:- medical marijuana establishments.

466 SECTION 50. Said section 3 of said chapter 94I, as so appearing, is hereby further
467 amended by striking out, in line 16, the words “medical use marijuana licensee or establishment”
468 and inserting in place thereof the following words:- medical marijuana establishment.

469 SECTION 51. Section 6 of said chapter 94I, as so appearing, is hereby amended by
470 striking out clauses (ii) and (iii) and inserting in place thereof the following 3 clauses:-

471 (ii) require any healthcare professional to authorize the medical use of marijuana for a
472 patient;

473 (iii) amend existing penalties for operating, navigating or being in actual physical
474 control of any motor vehicle, train, aircraft, motorboat or other motorized form of transport or
475 machinery while impaired by marijuana or a marijuana product; or

476 (iv) require medical marijuana establishments to simultaneously cultivate, process
477 and dispense medical use marijuana as a condition of licensure.

478 SECTION 52. Section 7 of said chapter 94I, as so appearing, is hereby amended by
479 striking out, in lines 3 and 4, the words “medical marijuana treatment centers” and inserting in

place thereof the following words:- medical marijuana establishments, which may include different fee amounts for classes established pursuant to this section.

SECTION 53. Said section 7 of said chapter 94I, as so appearing, is hereby further amended by adding the following 3 paragraphs:-

The commission may adopt regulations to: (i) establish and provide for the issuance of additional types or classes of licenses to operate medical use of marijuana-related businesses; and (ii) limit the number of medical marijuana establishment licenses a licensee may be granted.

The commission may establish procedures and policies for municipalities to promote and encourage full participation in the regulated medical marijuana industry during negotiations of host community agreements with social equity program businesses and economic empowerment priority applicants pursuant to clause (xxxi) of subsection (a) of section 4 of chapter 94G.

The commission shall adopt regulations to promote and encourage full participation in the regulated medical marijuana industry by people from communities that have previously been disproportionately harmed by marijuana prohibition and enforcement and to positively impact those communities pursuant to clause (iv) of subsection (a ½) of section 4 of chapter 94G.

SECTION 54. Section 22 of chapter 270 of the General Laws, as so appearing, is hereby amended by striking out, in lines 27 and 28, the words “section 76 of chapter 10” and inserting in place thereof the following words:- section 223 of chapter 6.

SECTION 55. The Massachusetts cannabis control commission shall study and report on patterns of cannabis use in the commonwealth. The commission shall study: (i) patterns of use, methods of consumption, sources of purchase and general perceptions of marijuana among

minors, college and university students and adults; (ii) incidents of impaired driving; and (iii) incidents of hospitalization and the use of other health care services related to marijuana use. Based on findings of the study, the commission shall report on the: (1) science of identifying a quantifiable level of marijuana-induced impairment of motor vehicle operation; (2) financial impacts to the state healthcare system for hospitalizations related to marijuana use; (3) prevalence of cannabis use disorder in the commonwealth; and (4) impacts of public health interventions, including, but not limited to, warning labels and educational campaigns. The commission shall incorporate available data into the report, including, but not limited to, data obtained pursuant to subsection (b) of section 17 of chapter 94G of the General Laws. Not later than January 1, 2028, the commission shall submit its report and any recommendations for legislation to the clerks of the house of representatives and the senate and the joint committee on cannabis policy.

SECTION 56. The Massachusetts cannabis control commission shall study the businesses licensed pursuant chapters 94G and 94I of the General Laws or the commission shall retain an outside expert with expertise in economic analysis to study the cannabis market and businesses licensed pursuant to said chapters 94G and 94I. The study shall review: (i) the appropriate number of licenses to be granted under said chapters 94G and 94I, the adequacy of cannabis supply for patients and consumers, whether an oversupply harms market participants, and the adequacy of the commission's enforcement of its regulations with respect to cultivation tiers; (ii) current cannabis supplier trends; (iii) data on projected future trends of cannabis consumption; (iv) price sensitivity of marijuana consumers; (v) access to capital for the creation and maintenance of legal cannabis business ventures in the commonwealth; and (vi) current regulations on existing cannabis cultivation tiers. Not later than July 1, 2028, the commission

shall publish the results of the study on its website and submit a copy of the report to the clerks of the house of representatives and the senate and to the joint committee on cannabis policy.

SECTION 57. The cannabis control commission shall conduct, or retain an outside expert to conduct, a study on the effects of the current marijuana excise tax rates established in chapter 64N of the General Laws on the sustainability of the cannabis industry. The study shall include, but not be limited to, the impact of the excise tax on: (i) consumer demand with regard to businesses licensed pursuant to chapters 94G and 94I of the General Laws; (ii) consumer demand for illicit cannabis and the size of the illicit cannabis market; (iii) the rates of marijuana related business closures; and (iv) businesses that have or could qualify for the Cannabis Social Equity Trust Fund established by section 14A of said chapter 94G. The study shall evaluate the impact of state taxes on the sale of cannabis in other states and any other relevant factors regarding the impact of the current excise tax on consumers and businesses in the commonwealth. Not later than January 1, 2028, the commission shall submit a report of its findings and any recommendations for legislation to the clerks of the house of representatives and the senate and the joint committee on cannabis policy.

SECTION 58. Not later than July 1, 2027, the Massachusetts cannabis control commission shall review its rules and regulations regarding: (i) workplace safety, including, but not limited to, air quality and first responder access; and (ii) enforcement and investigation protocols promulgated pursuant to clauses (xv) and (xxiii) of subsection (a ½) of section 4 of chapter 94G of the General Laws. Not later than July 1, 2028, the commission shall report its findings to the governor, the clerks of the house of representatives and the senate, the joint committee on cannabis policy and the cannabis advisory board.

SECTION 59. Not later than 12 months after the effective date of this act, the Massachusetts cannabis control commission shall conduct a targeted audit and compliance review of marijuana establishments and medical marijuana establishments to evaluate adherence to the ownership and control limitations pursuant to section 16 of chapter 94G of the General Laws. The commission shall prioritize reviews based on license type, risk indicators and prior compliance history. Not later than 18 months from the effective date of this act, the commission shall submit a report to the clerks of the house of representatives and the senate and the joint committee on cannabis policy summarizing the findings of the audit, including any identified patterns of noncompliance and recommended regulatory or legislative actions.

SECTION 60. Not later than 2 months after the effective date of this act, the Massachusetts cannabis control commission shall amend its regulations and begin accepting applications pursuant to section 16 of chapter 94G of the General Laws, as amended by section 36; provided, however, that the commission shall not grant a licensee that is not a social equity business more than 5 retail licenses until 12 months after the commission begins accepting applications pursuant to this section.

SECTION 61. (a) Notwithstanding section 16 of chapter 94G of the General Laws and chapter 94I of the General Laws or any other general or special law to the contrary, all medical marijuana establishment licenses that are not fully integrated medical marijuana treatment centers shall be limited on an exclusive basis to social equity businesses for a period of 24 months from the date that the first of such license types receive a notice to commence operations; provided, however, that the Massachusetts cannabis control commission may vote to extend the exclusivity period following an evidence-based determination that the goals and objectives of the exclusivity period to promote and encourage full participation in the regulated medical marijuana

569 industry by people from communities that have previously been disproportionately harmed by
570 marijuana prohibition and enforcement has not been met.

571 (b) If data collected by the commission demonstrates progress toward the goals and
572 objectives of the exclusivity period as set forth in subsection (a) and the demand by registered
573 qualifying patients is likely to exceed the supply that could be provided by businesses that meet
574 the exclusivity requirements during the exclusivity period, the commission may vote during the
575 exclusivity period to allow the following additional businesses to own medical marijuana
576 establishments: (i) craft marijuana cooperatives as defined in 935 CMR 500.002; (ii)
577 Massachusetts minority business enterprises; (iii) women business enterprises; and (iv) veteran
578 business enterprises; provided, that businesses pursuant to clauses (ii) to (iv), inclusive, shall
579 have valid certification from the supplier diversity office pursuant to section 61 of chapter 7 of
580 the General Laws.

581 SECTION 62. Notwithstanding section 76 of chapter 10 of the General Laws or any other
582 general or special law to the contrary, the terms of all commissioners serving on the
583 Massachusetts cannabis control commission shall terminate on the effective date of this act.
584 Commissioners shall thereafter be appointed by the governor pursuant to section 223 of chapter 6
585 of the General Laws not later than 30 days after the effective date of this act.

586 SECTION 63. (a) Notwithstanding any general or special law to the contrary, this section
587 shall facilitate the orderly transfer of employees, proceedings, rules and regulations, property and
588 legal obligations of the following functions of state government from the cannabis control
589 commission established pursuant to chapter 334 of the acts of 2016, as amended by chapter 55 of

590 the acts of 2017, as the transferor commission, to the cannabis control commission established by
591 this act, as the transferee commission.

592 (b) Notwithstanding any general or special law to the contrary, all property, including,
593 but not limited to, buildings, facilities, cash, equipment, books, papers, memoranda, files, maps,
594 plans, records, documents, property held in trust and other property, both personal and real, of
595 whatever description pertaining to the operation of the cannabis control commission that are in
596 the possession or under the control of the transferor commission or employee of the transferor
597 commission as of the effective date of this act shall remain under the control of the transferee
598 commission following the effective date of this act and all duly existing contracts, leases or
599 obligations of the commission that are in effect as of the effective date of this act shall remain in
600 effect following the effective date of this act. The transferee commission may exercise all rights
601 and enjoy all interests conferred upon the transferor commission by any previously executed
602 contracts or obligations. No existing right or remedy held or granted by the transferor
603 commission that is not expressly affected by this act shall be lost, impaired, rendered void or
604 affected by this act.

605 (c) All petitions, requests, investigations and other proceedings appropriately and duly
606 brought before the transferor commission prior to the effective date of this act shall continue
607 unabated and remain in force.

608 (d) All orders, rules and regulations duly made and all approvals duly granted by the
609 transferor commission, which are in force immediately before the effective date of this act, shall
610 continue in force and shall thereafter be enforced, until superseded, revised, rescinded or
611 canceled, in accordance with law, by the transferee commission.

(e) Subject to appropriation, any employees at the transferor commission, including those who immediately before the effective date of this act held permanent appointment in positions classified under chapter 31 of the General Laws or have tenure in their positions as provided by section 9A of chapter 30 of the General Laws or did not hold such tenure, or held confidential positions shall remain employed by the transferee commission without interruption of service within the meaning of said section 9A of said chapter 30, without impairment of seniority, retirement or other rights of the employee, without reduction in compensation or salary grade, notwithstanding any change in title or duties resulting from such reorganization, without loss of accrued rights to holidays, sick leave, vacation and benefits and without change in union representation or certified collective bargaining unit as certified by the state labor relations commission or in local union representation or affiliation. Any collective bargaining agreement in effect immediately before the effective date of the act shall continue in effect. The reorganization shall not impair the civil service status of any such reassigned employee who immediately before the effective date of this act either held a permanent appointment in a position classified under said chapter 31 or had tenure in a position by reason of said section 9A of said chapter 30. Nothing in this section shall prohibit the abolition of any management position within the transferee commission.

(f) The executive director shall continue in their role with all of the powers and duties authorized in statute or delegated by the commissioners and in place at the time of transfer, until such time as such delegation of authority is superseded, revised, rescinded or canceled, in accordance with law, by the chair after the time of transfer.

SECTION 64. The cannabis control commission shall, in consultation with appropriate state agencies and departments including the department of public health, the department of

635 agricultural resources, local boards of public health, the department of revenue and the alcoholic
636 beverages control commission, conduct a study and develop recommendations regarding the
637 effective regulation of the hemp-derived cannabinoid market, which shall include, but not be
638 limited to: (i) ongoing federal law and other statutory or regulatory changes; (ii) licensing
639 conditions; (iii) testing requirements and standards; (iv) appropriate age requirements and other
640 safeguards against underage access; (v) regulations for potential retail sales and taxation; and (vi)
641 optimal procedures in other states that have undertaken regulation of ingestible hemp products.
642 Not later than December 15, 2026, the commission shall publish the results of the study on its
643 website and submit a copy to the clerks of the senate and house of representatives and to the joint
644 committee on cannabis policy.

645 SECTION 65. The Massachusetts cannabis control commission shall promulgate or
646 amend regulations as necessary to be consistent with this act not later than 1 year after the
647 effective date of this act.

648 SECTION 66. Section 37 shall take effect on January 1, 2028.